

Warsaw, June 21, 2023

Decision

DOKE.561.1.2023

Pursuant to Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2023, item 775) in connection with Article 7 paragraphs 1 and 2, Article 60, Article 101, Article 101a paragraph 2, and Article 103 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781) and based on Article 57 paragraph 1 letters a) and h), Article 58 paragraph 2 letter i), Article 83 paragraphs 1-2, and Article 83 paragraph 5 letter e) in connection with Article 58 paragraph 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (OJ EU L 119 of 04.05.2016, p. 1, with amendments published in OJ EU L 127 of 23.05.2018, p. 2, and in OJ EU L 74 of 04.03.2021, p. 35), hereinafter referred to as the "Regulation 2016/679", after conducting an ex officio administrative proceeding regarding the imposition of an administrative monetary penalty on H. Sp. z o.o. based in W. at Al. (...), the President of the Personal Data Protection Office, finding that H. Sp. z o.o. based in W. at Al. (...) violated the provisions of Article 58 paragraph 1 letters a) and e) of Regulation 2016/679, consisting of failing to provide the President of the Personal Data Protection Office with access to information necessary for the performance of his tasks, imposes on H. Sp. z o.o. based in W. at Al. (...) an administrative monetary penalty in the amount of 33,012 PLN (in words: thirty-three thousand twelve zlotys).

JUSTIFICATION

Factual Background

A complaint was submitted to the President of the Personal Data Protection Office (hereinafter referred to as the "President of UODO") by Mr. R. B., residing in I. at ul. (...) (hereinafter referred to as the "Complainant") regarding irregularities in the processing of his personal data by H. Sp. z o.o. based in W. at Al. (...) (hereinafter referred to as the "Company"), consisting of the disclosure of the Complainant's personal data to a third party without legal basis. In connection with the above, in order to address the allegations raised by the Complainant, the President of UODO initiated explanatory proceedings under reference DS.523.2725.2022.

As part of the aforementioned proceedings – acting under Article 58 paragraph 1 letters a) and e) of Regulation 2016/679 – the President of UODO, by letter dated May 16, 2022, summoned the Company to provide explanations regarding the matter and to respond to the following detailed questions concerning the essence of the case:

- 1) "whether, and if so, when, on what legal basis, for what purpose and to what extent the Company obtained the Complainant's personal data, including his first name, last name, and phone number (...),
- 2) whether, and if so, on what legal basis, to what extent and for what purpose the Company currently processes the Complainant's personal data, including his first name, last name, and phone number (...) and how long these data will be processed by the Company,
- 3) whether, and if so, when, on what legal basis, for what purpose and to what extent, and to which entities the Company disclosed the Complainant's personal data, including his first name, last name, and phone number (...)."

The Company was also requested to respond to the allegation of the Complainant, according to which, quote: "A probable violation of my personal data, i.e., first name, last name, and phone number, i.e., (...) may have occurred as a result of the probable illegal acquisition of them in (...) by the aforementioned companies [including the Company] for the purpose – contrary to applicable law – of 'infecting' my mobile phone with advanced software (...). During the period (...) I received (...) SMS messages from the aforementioned entities [including the Company]. However, there is suspicion that the domains (websites) to which these messages redirected the recipient were false. Opening these sites would have resulted in the infection of my phone (...)."

This summons, addressed to the current address of the Company's registered office disclosed in the

National Court Register, i.e., Al. (...), W., after two notifications on May 18, 2022, and May 26, 2022, was not collected by the addressee and returned to the sender with the annotation "RETURNED not collected in time." In connection with the above, the President of UODO, based on Article 44 § 4 in connection with Article 45 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2023, item 775 as amended) (hereinafter referred to as "k.p.a."), considered it duly delivered to the Company as of June 1, 2022, and left it in the case files. The Company did not respond to this summons from the President of UODO.

In connection with the above, the President of UODO again – by letter dated January 25, 2023 – requested the Company to provide explanations regarding the matter. This summons was also not collected by the Company, despite being notified twice on January 27, 2023, and February 6, 2023. Returned to the sender with the annotation "RETURNED not collected in time," in accordance with the provisions of Article 44 § 4 in connection with Article 45 of the k.p.a., it was considered duly delivered to the Company as of February 10, 2023. Due to the lack of receipt of the letter, the Company did not provide to the President of the UODO for the requested information. Both of the aforementioned summonses – namely, the letter dated May 16, 2022, and the letter dated January 25, 2023 – contained a notice indicating that failure to provide explanations in the matter, resulting in a breach of the obligation to cooperate with the supervisory authority, may result in the imposition of an administrative monetary penalty on the Company in accordance with Article 83(5)(e) of Regulation 2016/679.

The above factual circumstances were established by the President of the UODO based on the entirety of the official correspondence directed to the Company, which is collected in the case files of proceedings with reference number DS.523.2725.2022. This correspondence fully and exhaustively documents all attempts made by the President of the UODO to gain access to personal data and information necessary to fulfill his duties – in this case, to consider the matter with reference number DS.523.2725.2022, and on the other hand reflects the lack of response from the Company to the requests of the President of the UODO.

Proceedings

Due to the Company's failure to provide the information necessary to resolve the matter with reference number DS.523.2725.2022, the President of the UODO initiated, ex officio – based on Article 83(5)(e) of Regulation 2016/679 – this administrative proceeding (reference number DOKE.561.1.2023) regarding the imposition of an administrative monetary penalty on the Company for violating Article 58(1)(a) and (e) of Regulation 2016/679.

The Company was informed of the initiation of the proceedings by a letter dated March 23, 2023. This correspondence, addressed to the Company's registered office, was twice notified on March 30, 2023, and April 7, 2023, but was not collected by the Company. In this regard, the President of the UODO – in accordance with the wording of Article 44 § 4 in connection with Article 45 of the Code of Administrative Procedure – deemed it delivered to the Company on April 13, 2023. By this letter, the Company was summoned, for the purpose of determining the basis for the penalty in accordance with Article 101a(1) of the Personal Data Protection Act, to present a financial statement or another document showing the amount of turnover and financial results achieved by it in the year 2022.

The Company was informed of the nature of the alleged violation; it was also instructed about the sanctions that threaten for this violation, as well as about the still existing possibility of providing explanations that the President of the UODO requested from it in the proceedings with reference number DS.523.2725.2022, which could have a mitigating effect on the amount of the administrative monetary penalty imposed in this case. Furthermore, the Company was informed about the possibility of expressing its opinion – before the issuance of the administrative decision – regarding the collected evidence and materials as well as the submitted requests.

The Company did not take any action in response to the information about the initiation of these proceedings. After reviewing all the evidence collected in the case, the President of the Personal Data Protection Office considered the following.

Legal Provisions

According to Article 57(1)(a) of Regulation 2016/679, the President of the UODO – as the supervisory authority within the meaning of Article 51 of Regulation 2016/679 – monitors and enforces the application of this regulation within its territory. Within the scope of its competencies, the President of the UODO considers, among other things, complaints lodged by data subjects, conducts proceedings regarding these complaints to the appropriate extent, and informs the complainant of the progress and results of these proceedings within a reasonable time (Article 57(1)(f) of Regulation 2016/679) and conducts proceedings regarding the application of this regulation, including based on information received from another supervisory authority or another public authority (Article 57(1)(h) of Regulation 2016/679).

To enable the realization of the tasks thus defined, the President of the UODO has a number of powers specified in Article 58(1) of Regulation 2016/679 in the context of conducted proceedings, including the power to order the controller and the processor to provide all information necessary to fulfill its tasks (Article 58(1)(a)) and the power to obtain from the controller and the processor access to all personal data and information necessary to fulfill its tasks (Article 58(1)(e)).

A breach of the provisions of Regulation 2016/679 consisting of the failure of the controller or the processor to provide access to personal data and information resulting in a violation of the rights of the authority specified in Article 58(1) of this legal act is subject – in accordance with Article 83(5)(e) in fine of Regulation 2016/679 – to an administrative monetary penalty of up to EUR 20,000,000, or in the case of an enterprise – up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount being applicable.

In assessing whether, and if so, to what extent an administrative monetary penalty should be imposed, the supervisory authority is obliged to take into account the following circumstances (criteria for penalty assessment) specified in Article 83(2) of Regulation 2016/679:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing in question, the number of data subjects affected, and the extent of the damage suffered by them,
 - b) the intentional or unintentional nature of the infringement,
 - c) the actions taken by the controller or the processor to mitigate the damage.
by the data subjects,
 - d) the degree of responsibility of the controller or processor, taking into account the technical and organizational measures implemented by them pursuant to Articles 25 and 32,
 - e) any relevant prior violations by the controller or processor,
 - f) the degree of cooperation with the supervisory authority to remedy the violation and mitigate its potential negative effects,
 - g) categories of personal data affected by the violation,
 - h) the manner in which the supervisory authority became aware of the violation, in particular, whether and to what extent the controller or processor reported the violation,
 - i) if measures referred to in Article 58(2) have previously been applied to the controller or processor in the same matter – compliance with those measures,
 - j) the application of approved codes of conduct under Article 40 or approved certification mechanisms under Article 42,
 - k) any other aggravating or mitigating factors applicable to the circumstances of the case, such as financial benefits directly or indirectly obtained in connection with the violation or losses avoided.
- Furthermore, the supervisory authority – in accordance with Article 83(1) of Regulation 2016/679 – ensures that the administrative fines imposed are effective, proportionate, and dissuasive in each individual case (principles of penalty imposition).

For the purpose of determining the basis for the imposition of an administrative fine, the entity against which the proceedings for the imposition of an administrative fine are conducted is obliged, at the request of the President of the UODO, to provide, within 30 days from the date of receipt of the request, the data necessary to determine that basis (Article 101a(1) of the Act on the Protection of

Personal Data). In the event that this data is not provided by the entity subject to the penalty, the President of the UODO establishes the basis for the administrative fine in an estimated manner, taking into account the size of the entity, the specificity of its activities, or publicly available financial data concerning the entity (Article 101a(2) of the Act on the Protection of Personal Data).

Pursuant to Article 103 of the Act on the Protection of Personal Data, the proceedings concerning violations of personal data protection regulations are conducted by the President of the UODO. Article 7(1) of the Act states that in matters not regulated by this Act, the provisions of the Code of Administrative Procedure (k.p.a.) apply to administrative proceedings before the President of the UODO (including proceedings concerning the imposition of administrative fines referred to in Chapter 11 of the Act). According to Article 7(2) of the Act, these proceedings are single-instance proceedings. Article 44 § 4 of the k.p.a. in conjunction with Article 44 § 1 of the k.p.a. in conjunction with Article 45 of the k.p.a. states that the fiction of delivery occurs upon the expiration of the last day of the period, which is 14 days in the case of delivering a letter to the registered office address of a legal entity by a postal operator, and the letter is left in the case files.

Legal Assessment

Referring to the above-mentioned provisions of Regulation 2016/679 in relation to the established factual state in this case, it should first be considered whether the Company is the addressee of the obligations referred to in Article 58(1)(a) and (e) of Regulation 2016/679, the violation of which is subject to an administrative fine under Article 83(5) of Regulation 2016/679. Both of the aforementioned provisions of Regulation 2016/679 impose procedural obligations – within the framework of proceedings conducted by the President of the UODO – on controllers and processors. In the case with reference number DS.523.2725.2022, the President of the UODO determined – based on the information and evidence presented by the Complainant in their complaint, as well as in the absence of contrary evidence – that the personal data of the Complainant were processed by the Company, acting in this processing as the controller. The Company was in possession of the Complainant's personal data, including their first name, last name, and phone number, which it used for marketing its own services by sending an SMS to the Complainant's phone number, containing a link redirecting to a website that, according to the Complainant, could cause their phone to be infected with malware. It is irrelevant in this case whether the described processing took place based on any of the legal bases indicated in Article 6(1) of Regulation 2016/679 and whether it was carried out in accordance with the other provisions of that regulation. However, for the purposes of this case, the determination that the Company acted as the controller of the Complainant's personal data in the contested processing allows for the conclusion that the Company was obliged to provide all information requested by the President of the UODO for a thorough and comprehensive examination of the complaint that is the subject of the proceedings with reference number DS.523.2725.2022. In this proceeding, in order to obtain explanations from the Company necessary to examine the validity of the allegations raised by the Complainant – acting based on

o art. 58 sec. 1 lit. a) and lit. e) of the Regulation 2016/679 – The President of the UODO twice requested the Company to respond to the content of the complaint and to provide explanations by answering detailed questions regarding the case (see points 2 and 4 of the justification of this decision). None of these letters, sent to the Company's registered address disclosed in the National Court Register, were received by the Company despite being notified twice, which is why these letters were deemed to have been duly delivered to the Company in accordance with art. 44 § 4 in connection with art. 45 of the Administrative Procedure Code. Consequently, due to the described inaction of the Company, the President of the UODO did not gain access to the personal data and information necessary to carry out his tasks – in this case, to examine the merits of the Complainant's complaint. This situation was not altered by the initiation of this proceeding by the President of the UODO regarding the imposition of an administrative monetary penalty on the Company (case reference DOKE.561.1.2023). The letter dated March 23, 2023, sent to the Company in the context of this proceeding (see point 8 of the justification of this decision) was also not received by the Company, and thus remained unanswered by it.

At this point, it should be noted that the responsibility for not providing the requested information to the

President of the UODO rests with the Company. This is not changed by the fact that the requests directed by the President of the UODO to the Company were not ultimately received by it. It is the duty of every organizational unit to ensure such an organization of mail receipt that the correspondence proceeds in a continuous and uninterrupted manner and exclusively through authorized persons (see Judgment of the Provincial Administrative Court in Gorzów Wielkopolski of October 18, 2018, case reference II SAB/Go 90/18, LEX no. 2576144). Similarly, the Supreme Administrative Court in its judgment of May 24, 2004, issued in case reference FSK 40/04 (LEX no. 137872) stated that it is the obligation of legal entities and organizational units to organize their work in such a way that the delivery of letters during working hours and at their registered office is always possible. Neglecting this obligation should be regarded as gross negligence on the part of the Company, which should in no way negatively affect the ability to exercise the rights of the supervisory authority, including the timeliness of the proceedings conducted by the President of the UODO.

It is therefore undisputed that the President of the UODO, exercising the right referred to in art. 58 sec. 1 lit. a) and lit. e) of Regulation 2016/679, directed a request to the Company for the provision of information necessary to carry out his tasks – in this case, for the substantive resolution of the case with reference DS.523.2725.2022. It is also undisputed that the President of the UODO did not receive the requested information from the Company, which constitutes a violation of art. 58 sec. 1 lit. a) and lit. e) of Regulation 2016/679.

The consequence of the lack of access to the information that the President of the UODO requested from the Company was an obstacle to the objective, thorough, and comprehensive consideration of the case, as well as an unjustified extension of the duration of the proceedings initiated by the Complainant's complaint, which in turn contradicted the fundamental principles governing administrative proceedings – as defined in art. 12 sec. 1 of the Administrative Procedure Code regarding the principles of thoroughness and speed of proceedings.

In light of the above, the President of the UODO states that in this case there were grounds justifying the imposition of an administrative monetary penalty on the Company – pursuant to art. 83 sec. 5 lit. e) in fine of Regulation 2016/679 – in connection with the Company's failure to ensure access to personal data and information necessary for the President of the UODO to carry out his tasks, namely to resolve the case with reference DS.523.2725.2022.

Grounds and principles for determining the administrative monetary penalty

Pursuant to the provisions of art. 83 sec. 2 of Regulation 2016/679, administrative monetary penalties are imposed depending on the circumstances of each individual case. In each case, attention is drawn to a number of factors listed in points a) to k) of the aforementioned provision (see point 13 of the justification of this decision). In deciding to impose an administrative monetary penalty on the Company in this case and determining its amount, the President of the UODO took into account the following circumstances that aggravate the assessment of the violation:

The nature, gravity, and duration of the violation (art. 83 sec. 2 lit. a) of Regulation 2016/679). The violation subject to the administrative monetary penalty in this case undermines the system aimed at protecting one of the fundamental rights of individuals, which is the right to the protection of their personal data, or more broadly – to the protection of their privacy. An essential element of this system, the framework of which is defined by the provisions of Regulation 2016/679, are the supervisory authorities, which have been assigned tasks related to the protection and enforcement of the rights of individuals in this regard. In order to enable the realization of these tasks, supervisory authorities have been equipped with a range of control powers, powers enabling the conduct of administrative proceedings, and remedial powers. Meanwhile, administrators and processors have been imposed, correlated with the powers of supervisory authorities, specific obligations, including the obligation to ensure that these authorities have access to personal data and information necessary for the realization of their tasks. The importance of violating these obligations has been emphasized by the EU legislator itself, providing for a higher penalty for their violation under two provisions of Regulation 2016/679 – a penalty of up to 20,000,000 EUR, and in the case of an enterprise – up to 4% of its total

annual revenue.

****Global turnover from the previous financial year,****

where the higher amount applies. The Company's conduct in this matter, consisting of not receiving correspondence directed to it and failing to provide the explanations requested by the President of the Personal Data Protection Office (UODO) – resulting in difficulties and unjustified prolongation of the proceedings conducted by the President of UODO – should therefore be regarded as undermining the personal data protection system and, for this reason, of significant weight and reprehensible nature. The severity of the violation is further increased by the fact that the Company's infringement was not a one-time and incidental event. The Company's inaction was continuous and prolonged. It lasted from the moment the 7-day deadline for providing explanations, set in the first summons directed to the Company in the proceedings with reference number DS.523.2725.2022 – calculated from June 1, 2022, i.e., from the day the letter was deemed properly delivered to the Company – thus from June 8, 2022, until the day the decision concluding this proceeding was issued.

****Unintentional nature of the violation (Article 83(2)(b) of Regulation 2016/679).****

Given that none of the summonses issued by the President of UODO to the Company for providing explanations were actually received by it, there are no grounds to consider that the Company's actions, subject to sanction in this matter, were intentional. In the opinion of the President of UODO, the violation committed by the Company was unintentional; however, since it was a consequence of gross and prolonged negligence by the Company of its fundamental obligation (to ensure such organization of receiving correspondence that the course of official correspondence proceeds continuously and undisturbed), this circumstance should be assessed negatively and considered as aggravating in the context of determining both the justification for imposing and the amount of the imposed penalty.

****Degree of cooperation with the supervisory authority to rectify the violation and mitigate its potential negative effects (Article 83(2)(f) of Regulation 2016/679).****

During the proceedings regarding the imposition of an administrative monetary penalty on the Company, the Company did not engage in any cooperation with the President of UODO. In particular, the Company did not provide the information requested by the President of UODO in the proceedings with reference number DS.523.2725.2022, which could have been treated as an action aimed at rectifying the violation identified in this matter or mitigating its effects. Such lack of cooperation with the President of UODO resulted in difficulties and unjustified prolongation of the proceedings conducted by the President of UODO. The consequences of the Company remaining in a state of violation (lack of willingness to restore a lawful state by complying with its procedural obligations in the proceedings before the President of UODO) must, in the opinion of the President of UODO, weigh negatively on the assessment of the identified violation.

In the opinion of the President of UODO, none of the circumstances referred to in Article 83(2) of Regulation 2016/679 support the mitigation of the established – taking into account the above-mentioned aggravating circumstances – amount of the penalty imposed by this decision.

****Other circumstances mentioned in Article 83(2) of Regulation 2016/679, after assessing their impact on the identified violation in this matter, were considered by the President of UODO as neutral in his assessment, meaning they had neither an aggravating nor a mitigating effect on the amount of the imposed administrative monetary penalty:****

****Any relevant prior violations by the controller (Article 83(2)(e) of Regulation 2016/679).**** The President of UODO did not find that the Company had previously committed any violations of personal data protection regulations, which is why there are no grounds to treat this circumstance as aggravating. Since such a state (compliance with obligations arising from personal data protection regulations) is a natural state in the legal environment in which the Company operates, it cannot also have a mitigating effect on the assessment of the violation made by the President of UODO.

****The manner in which the supervisory authority became aware of the violation (Article 83(2)(h) of Regulation 2016/679).**** The information about the violation identified in this matter was obtained by

the President of UODO ex officio by analyzing the course of the ongoing proceedings before him with reference number DS.523.2725.2022. This is a natural way of obtaining information about such a violation, resulting from the President of UODO's competence to assess the course of this proceeding and to determine what information is necessary for resolving the case being conducted. Therefore, there are no grounds for a negative assessment of the fact that the information about the violation did not come from the Company; however, this fact cannot also be taken into account in favor of the Company since it did not participate in the obtaining of information about the violation by the President of UODO.

****Compliance with previously applied measures in the same case, as referred to in Article 58(2) of Regulation 2016/679 (Article 83(2)(i) of Regulation 2016/679).** ** Before issuing this decision, the President of UODO did not apply any measures listed in Article 58(2) of Regulation 2016/679 against the Company in the examined case, which is why the Company had no obligation to take any actions related to their application, and such actions, assessed by the President of UODO, could have had an aggravating or mitigating effect.

impact on the assessment of the established violation.

The application of approved codes of conduct or approved certification mechanisms (Article 83(2)(j) of Regulation 2016/679). The Company does not apply the instruments referred to in Articles 40 and 42 of Regulation 2016/679. However, their adoption, implementation, and application is not mandatory for controllers, as stipulated by the provisions of Regulation 2016/679, which means that the circumstance of their non-application cannot be considered detrimental to the Company in this case. Conversely, the circumstance of adopting and applying such instruments as measures guaranteeing a higher than standard level of protection of processed personal data could be taken into account in favor of the Company.

Financial benefits obtained directly or indirectly in connection with the violation or avoided losses (Article 83(2)(k) of Regulation 2016/679). The President of the UODO did not find that the Company, due to its failure to provide the requested information, gained any financial benefits or avoided such losses. Therefore, there are no grounds for treating this circumstance as burdensome for the Company. The determination of measurable financial benefits resulting from the violation of the provisions of Regulation 2016/679 should be assessed very negatively. On the other hand, the Company's failure to achieve such benefits, as a natural state resulting from the assumption that a business entity conducting economic activity achieves financial benefits (profits) provided it complies with applicable legal requirements, is a circumstance that inherently cannot be mitigating for it. This is confirmed by the very wording of Article 83(2)(k) of Regulation 2016/679, which requires the supervisory authority to pay due attention to the benefits "obtained" – which occurred on the part of the entity committing the violation.

Other aggravating or mitigating factors (Article 83(2)(k) of Regulation 2016/679). The President of the UODO, comprehensively considering the case, did not note any circumstances other than those described above that could influence the assessment of the violation and the amount of the imposed administrative monetary penalty.

The remaining circumstances listed in Article 83(2) of Regulation 2016/679 could not be taken into account by the President of the UODO due to the specific nature of the violation (concerning the relationship between the controller and the supervisory authority, and not with the individuals whose data are concerned). These are:

the number of affected individuals and the extent of the damage incurred by them (Article 83(2)(a) of Regulation 2016/679) – due to the fact that the violation (the Company's failure to provide the President of the UODO with access to necessary information) is not associated with the violation of personal data of any individual and consequently no damages occurred on the part of natural persons; the actions taken by the controller to minimize the damage incurred by the individuals whose data are concerned (Article 83(2)(c) of Regulation 2016/679) – due to the fact that no damages occurred on the part of natural persons, there is no obligation or possibility for the Company to take any actions aimed at minimizing them;

the degree of responsibility of the controller, taking into account the technical and organizational

measures implemented by them under Articles 25 and 32 of Regulation 2016/679 (Article 83(2)(d) of Regulation 2016/679) – due to the fact that the violation in its very essence is not related to the technical and organizational measures implemented by the Company to ensure the protection of personal data and the security of their processing;

the categories of personal data to which the violation pertained (Article 83(2)(g) of Regulation 2016/679) – due to the fact that the violation consisting of failing to provide access to the information necessary for the President of the UODO to perform his tasks is not associated with the violation of any personal data.

According to the wording of Article 83(1) of Regulation 2016/679, the administrative monetary penalty imposed by the supervisory authority should be effective, proportionate, and deterrent in each individual case. In defining the aforementioned principles of imposing administrative monetary penalties, reference should be made to the views of the doctrine of data protection law. "A sanction is effective if it allows achieving the goal for which it was introduced. A sanction is proportionate if it does not exceed the threshold of hardship determined by taking into account the circumstances of the specific case. A sanction is deterrent if it serves the purposes of individual and general prevention, in other words, it constitutes a clear signal of disapproval of the violation for society, as well as for the addressee of the sanction" (P. Litwiński (ed.), Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016 [...]; Commentary on Article 83 [in:] P. Litwiński (ed.) General Data Protection Regulation. Data Protection Act. Selected sectoral provisions. Commentary). The principles of imposing administrative monetary penalties as defined require reference to the size, financial capabilities, and market position of the penalized entity, and as a measure of these attributes of the penalized entity, in the case of a business, Regulation 2016/679 allows for the total annual global turnover from the previous financial year to be taken into account (Article 83(5) of Regulation 2016/679).

Supplementing this principle, Article 101a(2) of the Personal Data Protection Act states that in the absence of such data, the President of the UODO establishes the basis for the assessment.

****Administrative Monetary Penalty Based on Estimates Regarding the Size of the Entity, the Specifics of Its Activities, or Generally Available Financial Data Concerning the Entity.****

Referring to the economic potential of the penalized entity is necessary because, among other reasons, a penalty that is disproportionately low in relation to the financial capabilities of the offender (a penalty that is practically "unnoticeable" for this entity) will not be effective and deterrent for this entity; on the other hand, a penalty that is too burdensome (a penalty whose payment threatens the existence of the entity) will not be proportional.

In the opinion of the President of the Personal Data Protection Office (UODO), the penalty imposed on the Company in this proceeding corresponds to the principles indicated in Article 83(1) of Regulation 2016/679. Its financial burden will discipline the Company to cooperate properly with the President of UODO in proceedings conducted with its participation before the President of UODO. In terms of disciplining the Company, the penalty will therefore be effective (it will achieve its purpose). The penalty imposed by this decision is also – in the opinion of the President of UODO – proportional to the seriousness of the established violation and to the possibility of its bearing by the Company without significant detriment to its ongoing activities. This penalty will also serve a deterrent function; it will be a clear signal to the Company, obligated under the provisions of Regulation 2016/679 to cooperate with the President of UODO, that neglecting obligations related to cooperation with him (in particular, obstructing access to personal data and information necessary for the performance of his tasks) constitutes a violation of significant weight and, as such, will be subject to financial sanctions.

Due to the Company's failure to provide the financial data requested by the President of UODO for the year 2022, in determining the amount of the administrative monetary penalty in this case, the President of UODO took into account, based on Article 101a(2) of the Personal Data Protection Act (u.o.d.o.), the estimated size of the Company and the specifics, scope, and scale of its activities. In the opinion of the President of UODO, the Company conducts business on a medium scale, as evidenced by its share capital amounting to 234,350.00 PLN. The Company has been present in the Polish market for

several years (the Company's entry into the National Court Register took place on September 1, 2010), which indicates the stable nature of its operations. The scope of the Company's activities focuses primarily on wholesale and retail sales of audiovisual, computer, and telecommunications equipment in specialized stores, as well as the repair and maintenance of these devices. The scale of the Company's operations can be evidenced by the sales revenue achieved by the Company in 2021, amounting to 3,788,677.68 PLN (data from the financial report for the 2021 financial year – considered due to the unavailability of financial data for 2022). The sale of goods and services by the Company is also subject to VAT, of which the Company is an active taxpayer (data from the VAT taxpayer register - www.podatki.gov.pl/wykaz-podatnikow-vat-wyszukiwarka). The significant amount of revenue generated by the Company does not qualify it for exemption from the aforementioned public levy, which also supports the recognition of the Company as a profitable and well-functioning entity.

Given that the entity penalized in this case operates on a medium scale, the administrative monetary penalty imposed on it by this decision, in a relatively small amount (constituting 0.035% of the maximum penalty that, according to Article 83(5)(e) in fine of Regulation 2016/679, the President of UODO could impose for the violation established in this case), will be a burdensome penalty for it and thus effective, but also one that can be borne without threatening the material foundations of its existence and its ongoing activities.

Taking into account the provisions of Article 103 of the u.o.d.o., the President of UODO imposed on the Company – applying the average exchange rate of the euro from January 30, 2023 (where 1 EUR = 4.7160 PLN) – an administrative monetary penalty in the amount of 33,012 PLN (which is equivalent to 7,000 euros).

Considering the above, the President of UODO ruled as stated in the operative part of this decision.

****Instruction****

The decision is final. According to Article 53 § 1 of the Act of August 30, 2002, on Proceedings Before Administrative Courts (Journal of Laws of 2023, item 259), hereinafter referred to as "p.p.s.a.", the party has the right to file a complaint with the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00-193 Warsaw). A fee must be paid for the complaint, in accordance with Article 231 in connection with Article 233 of the p.p.s.a. According to Article 74 of the Act of May 10, 2018, on the Protection of Personal Data (Journal of Laws of 2019, item 1781) (hereinafter "u.o.d.o."), filing a complaint with the administrative court by the party suspends the execution of the decision regarding the administrative monetary penalty.

In proceedings before the Provincial Administrative Court, the party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the party's request submitted before the initiation of the proceedings or during the proceedings. The application is free of court fees.

According to Article 105(1) of the u.o.d.o., the administrative monetary penalty must be paid within 14 days from the expiry of the deadline for filing a complaint with the Provincial Administrative Court, or from the date of the court's decision becoming final, to the bank account of the Personal Data Protection Office.

Personal Data at NBP o/o Warsaw No. 28 1010 1010
0028 8622 3100 0000.

Furthermore, in accordance with Article 105, paragraph 2 of the Act on Personal Data Protection, the President of the Office for Personal Data Protection may, upon a justified request from the penalized entity, postpone the deadline for payment of the administrative monetary penalty or allow it to be paid in installments. In the case of postponement of the deadline for payment of the administrative monetary penalty or its division into installments, the President of the Office for Personal Data Protection shall calculate interest on the unpaid amount at an annual rate, applying a reduced late payment interest rate, announced based on Article 56d of the Act of August 29, 1997, Tax Ordinance (Journal of Laws of 2022, item 2651, as amended), from the day following the day of submission of the

request.

Print Article

Metadata

Entity providing the information:

Department of Penalties and Enforcement

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Jan Nowak

2023-06-21

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Mathias Proch

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Iwona Jeleń

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